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ACADEMIC VAULT

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Entrepreneurship for Students: From Idea to First Paying Customer

Validate a business idea cheaply before you spend money on it

MONEY & CAREER

Money & Career

General Studies (GST / CED)
Centre for Entrepreneurship Development (CED) | 100L

Written for students, by students.

Practical notes, worked examples, practice questions and a revision plan.

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Independent study support | Not an official UNIZIK publication

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Why this pack exists

Most student businesses fail because nobody wanted the product, not because the owner lacked passion. This pack teaches problem-first thinking, cheap validation, unit economics and a first-sale plan, with Nigerian campus examples you can test within a week.

This is a student-written study companion, not a reproduced lecture handout or a leaked examination paper. Use it to organise the topics you are taught, practise the kind of thinking your course rewards, and walk into class with better questions.

What you will be able to do

- Identify a real problem and define a specific customer.
- Validate demand before investing capital.
- Calculate simple unit economics and a break-even point.
- Plan and execute a first sale, then decide whether to continue.

How to use this pack

1. Skim the whole pack once in 20 minutes so you know what is inside.
2. Work through one section at a time with your lecture note and recommended text beside you.
3. Attempt the practice questions before reading the answers. Mark what you missed.
4. Use the final checklist to plan your revision week, one tick per study session.

> **Free to download, always**
> This pack is free. There is no fee, no subscription and no payment step before download, and the full PDF is not watermarked or locked. Share the link with a coursemate instead of forwarding the file.

> **Confirm your official course outline**
> Course codes, credit units and outlines can differ by department and session. Treat this pack as supplementary support and confirm the current outline with your lecturer, course rep or departmental handbook before an assessment.

Start from a problem

A business exists to solve a problem someone will pay to remove.

- Define the customer narrowly: '200-level engineering students in hostels' rather than 'students'.
- Describe the problem in their words, not yours.
- Check whether they currently solve it and how much that costs them.
- Avoid ideas that rely on everyone adopting a new habit.
- Look for frequent, painful and urgent problems.
- Write one problem statement before writing a business plan.

Validate cheaply

Do not build first and ask later.

1. Talk to ten real potential customers without pitching.
2. Ask what they do now, what it costs and what frustrates them.
3. Offer a manual version of the service to three people for a small fee.
4. Record whether they pay, not whether they say it is a good idea.
5. Adjust the offer based on what they actually paid for.
6. Only buy stock or build a product after evidence of willingness to pay.

> **Compliments are not demand**
> 'That is a nice idea' costs nothing. Payment, a deposit or a pre-order is evidence.

Unit economics and the first sale

A business that loses money on every sale cannot grow out of the problem.

- Price minus variable cost equals contribution per unit.
- Calculate break-even: fixed costs divided by contribution per unit.
- Count your own time as a cost, even if you do not pay yourself yet.
- Start with a narrow offer and deliver it excellently.
- Collect feedback and one testimonial from the first customer.
- Decide honestly after 30 days: continue, adjust or stop.

An idea is not a business

A business exists when someone pays for something repeatedly at a price that covers costs. Everything before that is a hypothesis. The useful question is not "is this a good idea?" but "who specifically has this problem badly enough to pay, and how will I reach them?"

Most student ventures fail for one of three reasons: no clear customer, no margin after real costs, or no repeat purchase. A product that everyone admires and nobody buys has failed at the first test; a product that sells at a loss has failed at the second.

Start small enough to test cheaply. One product, ten customers, one channel. Learning from ten real transactions is worth more than a business plan written for a thousand imaginary ones.

Costs, price and the first sale

Separate fixed costs (equipment, registration, rent) from variable costs (materials, packaging, delivery). Your price must cover variable cost plus a contribution towards fixed costs plus a margin. Many student businesses price at the cost of materials and then discover they have been working for free.